CASCADIA ANALYTICS

Axon Enterprise, Inc.

Equity Research Note | AXON | 23 OCTOBER 2026

Unmatched Public Safety Ecosystem

Axon Enterprise screens as a Buy with a $577.53 blended target, 37% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$421.20	$577.53	+37%	BUY

Investment Thesis

Unmatched Public Safety Ecosystem. Vertically integrated hardware (TASER, Body 4) feeding a high-margin software suite with 126% net revenue retention and $15.1B in future contracted bookings [10-Q Q2 FY26]. Growth Is Bulletproof, Profitability Is Not. Ten straight quarters of 30%+ revenue growth (+35.3% in Q2), but $590-620M of SBC keeps GAAP margins negative and FCF near breakeven on an inventory build [10-Q Q2 FY26]. Derating Created the Setup. Down 38% from highs to $421.20 [Mkt 17-Oct-26], the stock now

- Unmatched Public Safety Ecosystem
- Growth Is Bulletproof, Profitability Is Not
- Derating Created the Setup

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The latest print

Growth Is Bulletproof, Profitability Is Not. Ten straight quarters of 30%+ revenue growth (+35.3% in Q2), but $590-620M of SBC keeps GAAP margins negative and FCF near breakeven on an inventory build.

Derating Created the Setup. Down 38% from highs to $421.20, the stock now trades near peer multiples. Our DCF base of $648.58 implies ~54% upside; consensus targets sit near $718.

$904.4M	$15.1B	$1.6B	126%	26.8%	$29.4M
REVENUE (Q2 FY26)	FUTURE CONTRACTED BOOKINGS	ANNUAL RECURRING REVENUE	NET REVENUE RETENTION	ADJ EBITDA MARGIN	GAAP NET INCOME

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 FY26)	$904.4M	+35.3% YoY	Up
Future Contracted Bookings	$15.1B	+41% YoY	Up
Annual Recurring Revenue	$1.6B	+39% YoY	Up
Net Revenue Retention	126%	+1 pt	Up
Adj EBITDA Margin	26.8%	+1.1 pts	Up
GAAP Net Income	$29.4M	-$6.7M YoY	Down
Free Cash Flow	~$0M	inventory build	Down
FY26 Revenue Growth Guide	32-34%	raised from 30-32%	Up

The moat

AI Era Plan adoption grew ~700% YoY

The growth engine

Dedrone counter-drone at $100M quarterly run-rate; Platform Solutions +123%

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-36 CAGR	2036 REVENUE	2036 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	16.1%	$18.04B	26.5%	**$216.13**	-49%
Base	50%	23.0%	$32.29B	33.0%	**$648.58**	+54%
Bull	25%	25.4%	$38.43B	33.0%	**$796.83**	+89%

Bear: downside case at $216.13 (-49%).

Base: central case at $648.58 (+54%).

Bull: upside case at $796.83 (+89%).

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The probability-blended target implies 37% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +37% from the $421.20 reference price.

$577.53
BLENDED TARGET

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The valuation uses a ten-year unlevered free cash flow DCF (2027-2036) on a detailed bridge: revenue to EBIT to cash taxes at 21%, plus stock-based compensation and D&A, less capex and the increase in net working capital. The discount rate is a CAPM cost of equity built on the live market-implied equity risk premium solved in the model's ERP tab, a Damodaran-style dividend discount solver on spot S&P 500 and 10-year Treasury inputs. The ERP in this build is 3.74%, so the year-one cost of equity is 10.62% (a 5.23% risk-free rate plus 1.44 times 3.74%). Beta decays linearly from 1.44 to the 0.88 mature-peer (MSI) terminal beta across the horizon, and each year is discounted at its own cost of equity on the same live ERP, so the terminal cost of equity is 8.52%, the mature-peer cost of equity on the live ERP. The equity bridge deducts net debt of $1.04B (debt of $1,731.8M less cash and current investments of $692.5M, Q2 2026 10-Q).

The bridge adds stock-based compensation back at a long-term rate of 2.0% of revenue, and that rate is a fade from today's level, not the current run rate. The 2026 guide of $590-620M is 16% to 17% of revenue; the model's 33.0% terminal EBIT margin holds only if compensation falls to the 2.0% long-term rate, which is why we treat the fade as a requirement of the model's terminal economics rather than a given. Expensing stock compensation in full, with no add-back in any forecast year or in the terminal value and the same diluted share count, would put the Base value at $584.77, a cost of $63.81 a share, or 9.8% of the published Base value.

Terminal value is now the Gordon growth value alone; we no longer average the two legs. The Gordon leg capitalizes 2036 free cash flow at a 3.0% perpetual growth rate and is the terminal value used in every scenario ($50.9B Bear, $142.7B Base, $174.9B Bull), and its present value is 85.5% of Bear, 82.2% of Base and 82.3% of Bull enterprise value. We retain the exit leg in the model as a cross-check only and do not use it in the valuation: it applies an EV/EBITDA multiple to 2036 EBITDA of 15x Bear, 18x Base and 22x Bull ($81.0B, $208.0B and $301.6B). That cross-check is instructive:

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the exit leg implies perpetual growth of 5.0% Bear, 4.7% Base and 5.3% Bull, well above the 3.0% we assume, and the exit multiple consistent with our 3.0% growth assumption is 9.4x Bear, 12.3x Base and 12.8x Bull, against the 15x, 18x and 22x the exit leg applies. Targets are divided by diluted weighted-average shares: the H1 2026 count of 82.541M, grown at the model's 2.5% annual dilution assumption to a terminal-year count of 105.66M shares in 2036.

Revenue base (2026E)	**$3.70B**
Valuation horizon	**2027-2036**
Live WACC	**10.62%**
Terminal growth	**3.0%**
Net debt	**$1.04B**
2036 FCF (Base)	**$7.65B**
10-year Treasury yield	**5.2%**
Beta	**1.44**
Equity risk premium	**3.74%**

BUY | $577.53 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 18.2%, market-implied 10-yr revenue CAGR: 18.2%.

Reverse DCF sensitivity

Implied enterprise value and share price at each ten-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$4.8B	$46.14	+10%	$19.7B	$226.18	+30%	$83.2B	$995.76	+50%	$316.0B	$3,815.62
-9%	$5.2B	$50.07	+11%	$21.2B	$244.29	+31%	$89.2B	$1,068.58	+51%	$336.6B	$4,065.55
-8%	$5.5B	$54.33	+12%	$22.8B	$263.78	+32%	$95.7B	$1,146.31	+52%	$358.5B	$4,330.35
-7%	$5.9B	$58.92	+13%	$24.5B	$284.74	+33%	$102.5B	$1,229.26	+53%	$381.6B	$4,610.83
-6%	$6.3B	$63.89	+14%	$26.4B	$307.28	+34%	$109.8B	$1,317.73	+54%	$406.1B	$4,907.80
-5%	$6.8B	$69.26	+15%	$28.4B	$331.51	+35%	$117.6B	$1,412.06	+55%	$432.1B	$5,222.13
-4%	$7.2B	$75.06	+16%	$30.6B	$357.54	+36%	$125.9B	$1,512.60	+56%	$459.5B	$5,554.72
-3%	$7.8B	$81.33	+17%	$32.9B	$385.50	+37%	$134.7B	$1,619.71	+57%	$488.6B	$5,906.52
-2%	$8.3B	$88.11	**+18%**	**$35.3B**	**$415.52**	+38%	$144.1B	$1,733.78	+58%	$519.3B	$6,278.52
-1%	$8.9B	$95.42	+19%	$38.0B	$447.73	+39%	$154.2B	$1,855.22	+59%	$551.7B	$6,671.75
+0%	$9.6B	$103.32	+20%	$40.8B	$482.29	+40%	$164.8B	$1,984.44	+60%	$586.0B	$7,087.28
+1%	$10.3B	$111.86	+21%	$43.9B	$519.34	+41%	$176.2B	$2,121.91	+61%	$622.3B	$7,526.26
+2%	$11.0B	$121.07	+22%	$47.2B	$559.06	+42%	$188.2B	$2,268.08	+62%	$660.5B	$7,989.84
+3%	$11.9B	$131.01	+23%	$50.7B	$601.62	+43%	$201.1B	$2,423.46	+63%	$700.9B	$8,479.25
+4%	$12.7B	$141.74	+24%	$54.5B	$647.19	+44%	$214.7B	$2,588.55	+64%	$743.6B	$8,995.79
+5%	$13.7B	$153.31	+25%	$58.5B	$695.98	+45%	$229.2B	$2,763.91	+65%	$788.5B	$9,540.78
+6%	$14.7B	$165.79	+26%	$62.8B	$748.19	+46%	$244.5B	$2,950.11	+66%	$836.0B	$10,115.62
+7%	$15.8B	$179.25	+27%	$67.4B	$804.04	+47%	$260.9B	$3,147.73	+67%	$886.0B	$10,721.77
+8%	$17.0B	$193.74	+28%	$72.3B	$863.76	+48%	$278.2B	$3,357.42	+68%	$938.8B	$11,360.73
+9%	$18.3B	$209.36	+29%	$77.6B	$927.58	+49%	$296.5B	$3,579.82	+69%	$994.3B	$12,034.09

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$23.88B	—	3.0%	-$1.04B	$22.84B	**$216.13**
Base	$69.57B	—	3.0%	-$1.04B	$68.53B	**$648.58**
Bull	$85.23B	—	3.0%	-$1.04B	$84.19B	**$796.83**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Bear	$216.13	$239.08	$269.26	$301.60	$335.64	$370.64	$405.61	$439.31	$470.34	$497.34	$519.29
Base	$648.58	$717.46	$797.90	$884.71	$976.78	$1,072.32	$1,168.66	$1,262.32	$1,349.20	$1,425.13	$1,487.34
Bull	$796.83	$881.45	$979.31	$1,085.27	$1,198.07	$1,315.57	$1,434.51	$1,550.48	$1,658.16	$1,752.07	$1,828.56

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $577.53 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The sum-of-the-parts build: five segments to $29.55B of 2036 revenue

The workbook builds Axon bottom-up in five segments, each with its own revenue, EBITDA and free cash flow path from 2026 to 2036, rather than applying traded multiples segment by segment. The terminal-year picture is the cross-check.

COMPONENT	2036 REVENUE	2036 EBITDA MARGIN	2036 EBITDA
Dedrone (counter-drone)	$3.47B	32.5%	$1.13B
Mass surveillance (RTCC + ALPR)	$1.28B	36.5%	$467M
Evidence.com & Cloud SaaS	$18.50B	42.5%	$7.86B
TASER (Weapons & Cartridges)	$4.00B	32.5%	$1.30B
Body Cameras & Sensors	$2.30B	17.5%	$402M
Total 2036 revenue			**$29.55B**
Total 2036 EBITDA			**$11.16B**
Total 2036 unlevered FCF			**$7.23B**
Bull-case 2036 revenue (DCF)			**$38.43B**
Revenue gap, SOTP vs Bull case			**-$8.88B**

The mix shifts toward software: Evidence.com & Cloud SaaS grows from 43.2% of revenue in 2026 to 62.6% in 2036, and the blended EBITDA margin expands from 25.0% to 37.8% across the build. Dedrone carries the widest margin assumption in the build. We model Dedrone at a 32.5% terminal EBITDA margin; defense-electronics comparables earn EBITDA margins of 14% to 18%, and that range is the bear framing for the segment: if Dedrone converges toward comparable defense-electronics margins instead of holding platform economics, its terminal contribution falls materially.

The segment build totals $29.55B of 2036 revenue against $38.43B in the DCF Bull case. Revenue gap: SOTP total vs Bull-case 2036 ($M revenue; Flock backlash deficit, not a price target).

Methodology note. Segment figures are the Segment Build tab of the model workbook (all $M), summed in its own reconciliation. The build is a revenue and cash flow cross-check on the DCF scenarios, not a separate price target.

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Agency risk score 27 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 4.51% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $60.15M of sales, a net flow of -$60.15M. One-year total shareholder return is -43.7% against CEO total pay of $40.0K (Mr. Patrick W. Smith), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	15 / 40	4.51% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $0 (0) vs sales $60.15M (16), net -$60.15M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -43.7%; Mr. Patrick W. Smith, Founder, CEO & Director, total pay $40.0K
Agency Risk Score	**27 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-11	Fields Isaiah	Officer	SELL	1,017	$488.6K
2026-09-08	Smith Patrick W.	Chief Executive Officer	SELL	10,000	$5.09M
2026-08-31	Isner Joshua M	President	SELL	16,775	$9.64M
2026-08-21	Kunins Jeffrey C	Chief Technology Officer	SELL	9,605	$6.02M
2026-08-07	Smith Patrick W.	Chief Executive Officer	SELL	9,930	$5.45M
2026-08-07	Smith Patrick W.	Chief Executive Officer	SELL	70	$39.7K
2026-07-07	Smith Patrick W.	Chief Executive Officer	SELL	10,000	$6.44M
2026-06-29	Smith Patrick W.	Chief Executive Officer	SELL	10,000	$5.00M

SEC proxy audit, DEF 14A filed 2026-04-16

Alignment grade B. DATA NOT IN EXCERPT. Patrick W. Smith, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
Not reported in excerpt	Not reported in excerpt	Not reported in excerpt	Not reported in excerpt

Founder mode: symbolic salary, equity-aligned.

The excerpt contains general meeting information and corporate governance disclosures through page 13, omitting the Summary Compensation Table located on page 47. Axon conducted shareholder outreach across 40% of shares following prior say-on-pay results to evaluate compensation alignment. Detailed CD&A disclosures are required to quantify shifts in executive awards and performance metrics.

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Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1069183/000162828026025521/axon-20260416.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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The bear case

Supply Chain & Tariffs

Global supply chain disruptions and international tariffs threaten hardware gross margins and physical unit capacity; management warned Q3 margins face pressure from memory costs with no tariff refunds yet.

Stock-Based Compensation

Stock-based compensation guided at $590-620M in 2026 creates massive equity dilution and keeps GAAP operating margins negative.

Convertible Overhang

The September 2026 $1B 0% convertible notes due 2031 added leverage and future dilution overhang, and the stock has traded heavy since the offering.

The strengths

Operating Quality

Unmatched public-safety ecosystem with real switching costs: 126% net revenue retention, $1.6B ARR, $15.1B in contracted bookings. Offset by heavy SBC ($590-620M guided), negative GAAP margins, and a new $1B convertible adding leverage.

Recent Trend

Ten consecutive quarters of 30%+ revenue growth (+35.3% in Q2), bookings +41%, ARR +39%, adjusted EBITDA margin expanding to 26.8%. Counterweights: GAAP net income fell, margins pressured by memory costs and tariffs, FCF near zero on inventory build.

Forward Growth

Guide raised to 32-34% FY26 growth with a clean beat-and-raise record. AI Era Plan up ~700%, Dedrone at a $100M quarterly run-rate, and a $6B revenue 2028 target. Hardware capacity is the gating factor, not demand.

Valuation

The 38% derating changed the math: DCF base $648.58 implies ~54% upside at $421.20. Forward P/E of 37x and PEG of 1.5 are still demanding, and GAAP earnings remain near zero, so this is a growth-multiple story, not a value one.

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Cascadia scorecard

Composite score 74: Attractive. Confidence High, as of 23-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Unmatched public-safety ecosystem with real switching costs: 126% net revenue retention, $1.6B ARR, $15.1B in contracted bookings. Offset by heavy SBC ($590-620M guided), negative GAAP margins, and a new $1B convertible adding leverage.	57
Recent Trend	Ten consecutive quarters of 30%+ revenue growth (+35.3% in Q2), bookings +41%, ARR +39%, adjusted EBITDA margin expanding to 26.8%. Counterweights: GAAP net income fell, margins pressured by memory costs and tariffs, FCF near zero on inventory build.	78
Forward Growth	Guide raised to 32-34% FY26 growth with a clean beat-and-raise record. AI Era Plan up ~700%, Dedrone at a $100M quarterly run-rate, and a $6B revenue 2028 target. Hardware capacity is the gating factor, not demand.	88
Valuation	The 38% derating changed the math: DCF base $648.58 implies ~54% upside at $421.20. Forward P/E of 37x and PEG of 1.5 are still demanding, and GAAP earnings remain near zero, so this is a growth-multiple story, not a value one.	76
Catalysts & Risk	Nov 3 Q3 earnings is the near-term test, with a pre-warned margin hit from memory costs and tariffs. TASER 10 capacity expansion and counter-drone momentum are positives. The $1B convertible adds dilution overhang. Skew positive after the derating.	68

Investment view

A Q3 FY26 beat showing the margin warning was temporary would lift Trend and Valuation. Conversely, a guide cut, further SBC escalation, or a drop in net revenue retention would break the growth narrative and compress multiples again.

Investment view: Buy. The $577.53 blended target implies +37%, balancing the $216.13 / $648.58 / $796.83 Bear / Base / Bull outcomes.

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